CSIS JAPAN CHAIR

Japan Daily Brief

Wednesday, October 28, 2026

1,882 words · 8 min read

RE: Koizumi-Hegseth bilateral · BOJ hold expected · Takaichi-Merz tech pact · GMO cyberattack · Lower House seat cuts

NIKKEI 225	USD/JPY	BRENT	BOJ RATE
63,954.19	157.93	$111.04	7.00%
▲ +1.66%	▼ -0.13%	▼ -4.87%	

TOP STORIES

ALLIANCE

Japan, US defense chiefs meet in Philippines to boost security alliance

Defense Minister **Shinjiro Koizumi** and U.S. Secretary of Defense **Pete Hegseth** met in Cebu, Philippines, agreeing to strengthen deterrence amid China's growing military clout and to deepen cooperation on preventing cyberattacks. The meeting occurs as Japan confronts near-daily data breaches, including the GMO Internet ransomware attack that prompted a *$1 million* reward offer for hacker identification.

MAINICHI

ALLIANCE

Takaichi and Merz pledge to boost economic security and tech cooperation

Prime Minister **Sanae Takaichi** and German Chancellor **Friedrich Merz** pledged to boost economic security and technology cooperation during a meeting in Tokyo, expressing "grave concern" over economic coercion including arbitrary export restrictions and retaliatory measures on critical minerals. Reuters separately reported Merz invited Japan to back a broader trade alliance as China urged Germany to be "rational."

THE JAPAN TIMES

ECONOMY-BOJ

Bank of Japan unlikely to take rates higher this week

Market consensus and a CNBC survey of economists both point to no rate change at this week's Bank of Japan policy meeting, but see December as a real possibility following a trend-inflation index that hit a *three-year high*. The FT separately reported the BOJ is expected to remain on a quarterly tightening path, while ex-BOJ Governor **Haruhiko Kuroda** publicly backs continued hikes as his former deputy urges caution.

THE JAPAN TIMES

TECHNOLOGY

Cyberattack on Japan internet provider GMO threatens customer computers

GMO Internet confirmed a cyberattack that threatens customer computers and shut down a hacker-operated site that had allegedly published leaked user data. The company announced it would offer up to *$1 million* for

information leading to identification of the attackers, as a Mainichi editorial called for stronger public-private cyber defenses across Japan's financial sector.

NIKKEI ASIA

DEFENSE

Defense buildup push faces financial roadblocks

Japan's expanding military ambitions face growing obstacles from competing demands on the public purse, per Japan Times reporting, with the defense-budget tax-hike question unresolved even as the Three Strategic Documents review proceeds. The friction between defense spending targets and fiscal consolidation pressures is a central axis of the current Diet session.

THE JAPAN TIMES

STAT OF THE DAY

150

Countries supporting Japan's UN nuclear abolition resolution

The First Committee of the UN General Assembly adopted Japan's nuclear-weapons-elimination resolution with support from 150 countries; seven voted against and 25 abstained, including the United States and France.

U.N. panel adopts Japan-led nuclear weapon abolition resolution — Japan Times

JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · WEDNESDAY, OCTOBER 28, 2026

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — Prime Minister Takaichi held a press conference on the passing of former PM Fukuda and confirmed the Japan-Bangladesh Summit outcome including a 1 trillion yen investment plan.

外務省 · MINISTRY OF FOREIGN AFFAIRS · *Vice Minister Funakoshi*

MOFA Vice Minister meets U.S. Ambassador Glass and Australian Ambassador Shearer in trilateral format

Vice Minister **Funakoshi** held a meeting with U.S. Ambassador **Glass** and Australian Ambassador **Shearer**, underscoring Japan's trilateral diplomatic engagement with its two major security partners.

→ MOFA ↗

外務省 · MINISTRY OF FOREIGN AFFAIRS · *State Minister Nakasone*

European Parliament Committee on Security and Defence meets State Minister Nakasone

State Minister **Nakasone** received a courtesy call from the European Parliament's Committee on Security and Defence, reflecting intensifying Japan-EU security dialogue.

→ MOFA ↗

官邸 · PRIME MINISTER'S OFFICE (KANTEI) · *Prime Minister Sanae Takaichi*

Japan-Bangladesh Summit: Takaichi announces 1 trillion yen ($6.34B) investment plan over five years

Prime Minister Takaichi met Bangladesh's Prime Minister **Tarique Rahman** in Tokyo and announced a plan projecting up to approximately *$6.34 billion* in Japanese private investment in Bangladesh over five years under the BIG-B initiative. The summit also elevated the bilateral framework for shared prosperity.

→ Kantei ↗

日本銀行 · BANK OF JAPAN

BOJ trend-inflation index hits 3-year high ahead of this week's policy meeting; hold widely expected

Japan's trend-inflation index reached a *three-year high*, per Reuters, cementing the medium-term case for further BOJ rate hikes even as markets and a CNBC survey of economists expect the board to hold rates unchanged at this week's meeting. The FT reports the BOJ is expected to remain on a quarterly tightening path, with December flagged as a real possibility for the next move.

→ Reuters ↗

DIET SESSIONS / LDP

HOUSE OF REPRESENTATIVES

DPP and Ishin (Japan Innovation Party) endorse LDP plan to cut 31 Lower House proportional-representation seats

The Democratic Party for the People (DPP) and Nippon Ishin no Kai have both approved the LDP's proposal to cut 31 Lower House proportional-representation seats, raising the prospect of the plan passing the current Diet session. The proposal also includes a system allowing multiple parties to compile a joint list of proportional-representation candidates.

LDP

LDP's Moriyama signals possible support for Hayashi in future leadership race

LDP Secretary-General Moriyama indicated he 'has the feeling' to back Hayashi in a future LDP presidential contest, according to Asahi, introducing a new succession dynamic within the ruling party ahead of any potential leadership contest.

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
ANN · Oct 19, 2026	**47.1%**	**33.3%**
Asahi · Oct 19, 2026	**50%**	**35%**
Kyodo · Oct 19, 2026	**49.1%**	**33%**
FNN · Oct 19, 2026	**62.6%**	**32.3%**
Yomiuri · Oct 19, 2026	**57%**	**30%**

NHK · Oct 14, 2026	**50.8%**	**32%**
JNN · Oct 4, 2026 · **24d ago**	**63%**	**33.9%**

Discourse: The DPP and Ishin have endorsed the LDP's plan to cut 31 Lower House proportional-representation seats, raising the prospect of Diet passage in the current session and marking a significant coalition-arithmetic shift.

Poll tracker: **Observing Japan approval-rating aggregator →**

BUSINESS & ECONOMY

AUTO · NIKKEI ASIA · TESLA

Japan's 'DOGE' initiative targets EV subsidies; Tesla subsidies cut by approximately 40% from January 2027

Japan's fiscal efficiency drive is targeting EV subsidy programs, with Tesla subsidies reportedly cut by *approximately 40%* effective January 2027. The broader review puts the uncertain future of Japan's EV support framework in question at a critical moment for the domestic auto industry's electrification push.

SEMICONDUCTORS · JAPAN FORWARD · NTT DOCOMO BUSINESS, MITSUBISHI ESTATE, RAPIDUS

NTT Docomo Business, Mitsubishi Estate, and Chitose city plan new semiconductor R&D hub near Rapidus by 2030

NTT Docomo Business, Mitsubishi Estate, and the city of Chitose announced plans to build a semiconductor research and development hub in Hokkaido near Rapidus's facilities, covering the chip-manufacturing chain from fabrication to assembly, targeted for completion by *2030*. The project deepens the industrial cluster being built around Rapidus's 2nm foundry in Hokkaido.

FINANCE · NIKKEI ASIA

Japan banks and fintech firms accelerate digital currency push for trade settlements

Japanese banks and fintech companies are stepping up development of digital currency infrastructure aimed at trade settlement use cases, as Japan seeks to modernize its payments architecture amid competition from regional peers. The push reflects broader economic security interest in reducing dependence on dollar-clearing systems.

MANUFACTURING · NIKKEI ASIA · SUMITOMO ELECTRIC

Sumitomo Electric expands low-tungsten tool offerings to reduce China critical-mineral dependence

Sumitomo Electric is expanding its lineup of low-tungsten cutting tools, reducing reliance on Chinese tungsten supplies as Tokyo and industry respond to Beijing's ongoing rare-earth and critical-mineral export-control leverage. The move mirrors parallel government-level discussions on supply-chain resilience that featured in the Takaichi-Merz summit.

TECH · NIKKEI ASIA · SAKANA AI

Japan's Sakana AI to develop homegrown large model to reduce dependence on US and Chinese platforms

Japanese AI startup **Sakana AI** plans to build a domestically developed large-language model aimed at reducing Japan's dependence on both U.S. and Chinese AI platforms, aligning with Tokyo's broader economic security push in advanced technology. The initiative connects to METI's AI and advanced-technology cooperation agenda, including the Japan-Ukraine technology cooperation announced this week.

REGIONAL PRESSURE WATCH

Normal — 34 items

CHINA

Chinese President Xi Jinping sent condolences over former PM Fukuda's death, calling on Japan via Reuters to 'protect the political foundation' of bilateral ties — diplomatic language directed at Tokyo's pro-engagement faction at a moment of bilateral friction over rare earths and Japan's defense buildup. Multiple TASS-relayed statements

from Chinese experts this week assert Japan could develop nuclear weapons in 'a few dozen days' and produce 'thousands of warheads,' maintaining Beijing's framing of Tokyo's defense buildup as a nuclear-proliferation risk.

NORTH KOREA

Japan conducted its first public live-fire drill with the Type-25 anti-ship missile — a long-range system within range of North Korean territory — per Asia News Network and UPI, signaling Japan's counterstrike capability has moved from procurement to operational demonstration. ASPI analysis warns that Russian military assistance would compound the threat posed by North Korea's sustained missile-testing campaign.

RUSSIA

Moscow's foreign ministry called on Tokyo to drop what it described as 'unfriendly policies' per TASS, maintaining pressure on Japan at a moment when the detained Hokkaido Shimbun reporter Yuki Imai case remains unresolved. Japanese journalists, including prominent figures, issued a protest statement over the Russian detention.

Senkaku / ECS: No new China Coast Guard or PLA activity near the Senkakus is reported in today's Tier 1 or Tier 4 data; Beijing's active economic-coercion vector via critical-mineral export controls continues as the primary pressure instrument from China toward Japan.

“grave concern”

Joint communiqué language — Takaichi-Merz summit · Takaichi and Merz pledge to boost economic security and tech cooperation

Bottom line: China is calibrating condolence diplomacy over Fukuda's death to press Tokyo on the 'political foundation' of bilateral ties, while simultaneously sustaining nuclear-proliferation accusations and rare-earth pressure; Japan's public live-fire Type-25 anti-ship missile drill is the sharpest operational signal from Tokyo's side this week.

U.S.-JAPAN RELATIONS

ALLIANCE · INDOPACOM

US and Japanese airmen conduct combined training under Keen Sword 27 exercise

U.S. and Japanese air personnel are conducting combined training as part of the Keen Sword 27 (KS27) exercise, building bilateral air readiness. Keen Sword is a major recurring US-Japan bilateral exercise; its 2027 iteration reflects continued alliance investment in combined operational readiness.

INDO-PACIFIC PARTNERS

INDIA · THE DIPLOMAT

Japan confirms dispatch to India to explore joint anti-ship missile drills

Japan confirmed it is sending personnel to India to explore conducting joint anti-ship missile training drills, highlighting both the training challenges posed by Japan's expanding arsenal and opportunities for closer defense cooperation with New Delhi.

QUAD · HUDSON INSTITUTE

Hudson Institute examines major joint US-Japan military exercises oriented toward a China contingency

A Hudson Institute analysis covers major joint US-Japan military exercises planned for a China contingency, alongside Kim Jong Un's confirmed visit to China and Chinese coercion of Taiwan's Pratas Island and other outlying islands.

SOUTHEAST ASIA · MOFA

Parliamentary Vice-Minister Ikuina attends Sasakawa Peace Foundation seminar on Bangladesh

Parliamentary Vice-Minister for Foreign Affairs **Ikuina** attended a seminar on Bangladesh organized by the Sasakawa Peace Foundation, complementing the Japan-Bangladesh summit this week and Tokyo's broader Indo-Pacific economic engagement push.

UPCOMING

Oct 28

BOJ Monetary Policy Meeting (this week)

The Bank of Japan's policy board meeting is underway this week; a rate hold is widely expected with markets and a CNBC survey pointing to no change. December is flagged as a real possibility for the next hike given the trend-inflation index at a three-year high.

Nov 4

Emergency cybersecurity package deadline

Prime Minister Takaichi directed the government on October 27 to compile an emergency cybersecurity package by next week, setting an approximate deadline in the first week of November amid escalating attacks on Japanese companies including GMO Internet.

Jan 1

Japan EV subsidy reductions take effect

Japan cuts EV subsidy rates effective January 2027, with Tesla subsidies reduced by approximately 40%, as the government's fiscal efficiency drive — its own 'DOGE' initiative — targets EV support programs.

Jan 1

BOJ policy outlook: December-January rate-hike window

Markets price the next BOJ rate hike for December or early 2027, following the expected hold this week. MUFG sees a hold with the BOJ calling the 2% inflation target, with two potential dissenters representing the key yen risk.

Feb 7

Northern Territories Day (annual)

Japan's annual observance pressing Russia over the four disputed islands; diplomatic exchanges and rally events typically coincide with the anniversary.

CSIS Japan Chair

JAPAN DAILY BRIEF

Washington, D.C.

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